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IBM | North America

A Capex Reprioritization - 5 Key Takeaways

IBM saw companies re-prioritize capex budgets towards spending bottlenecks in 2Q - in this case towards fast-inflating enterprise server/storage products, at the cost of Mainframe HW, TP, Data and Automation SW. The persistence of this trend is the go-forward risk for IBM.

Key Takeaways

- 2Q revs came in 5% short of MSe, with SW and Infra both missing and Consulting in-line. Negative mix drove GM miss while cost initiatives protected PTI margin.
- Challenged in the Q: IBM Z, Transaction Processing, Data, and Automation SW. Solid in the Q: RHT up 11% Y/Y, HashiCorp, and Confluent.
- IBM views 2Q dynamics as a short-term optimization of capex decisions vs. a prevailing trend. 2Q slippage amounted to a few big deals.
- Directional confirmation of enterprise server/storage and HDD spending strength- CDW, DELL, HPE, INGM, NTAP, P, SNX, STX (Top Pick), WDC.
- Floor in stock? Using intra-day multiples, our regression-based FCF approach points to \$207; SOTP points to \$164-219. Question is what is right EPS/FCF base.

An example of how the memory 'supercycle' is de-prioritizing broad categories of spending. In speaking to management - the high-level cause of today's negative pre-announcement is clear. Customers making large capex purchases viewed memory-laden storage and servers as a greater spending priority this quarter - and thus downsized their ELA purchases across mainframe hardware and transaction processing, data and automation software - by delaying deals which are typically back-end-loaded in the quarter. If this issue - memory inflation causing a reprioritization of enterprise compute/storage spend - were isolated to 2Q, we could look at today's stock move and theorize the negative risk event has passed. But as we argued in [IT Hardware: The Enterprise Compute Shortage - Pull-Forward or Paradigm Shift?](#), memory prices are being viewed as a structural/multi-year headwind, and companies are persistently pulling forward compute/storage spend as a result, which means this same type of capex re-prioritization could theoretically happen in 2H26, and into CY27, as well. Furthermore, we'd highlight that despite shares falling 25% intra-day, at \$215 IBM is trading back to where it was in mid-May 2026, though on fundamentals that presumably just took a step lower. So it's hard to look at today as the floor in the stock right now. We have more to learn next week at earnings, but we wouldn't be surprised to see shares remain weak near-term given (1) the persistence of the memory headwind, and (2) the broad-based impact this spending shift could have on IBM spend if longer-lasting. **We share 5 key thoughts and implications below.**

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IBM (IBM.N, IBM UN)					
IT Hardware United States of America					
Stock Rating					Equal-weight
Industry View					Cautious
Price target					\$293.00
Shr price, close (Jul 13, 2026)					\$290.23
Mkt cap, curr (mm)					\$276,858
52-Week Range					\$332.41-212.35
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e	
EPS (\$)	11.35	12.44	13.44	14.75	
P/E	25.6	23.4	22.1	19.8	
Div yld (%)	2.3	2.3	2.3	2.3	
EPS (\$)**	11.58	12.42	13.14	14.66	
Prior EPS (\$)**	-	-	-	-	
Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework					
§ = Consensus data is provided by Refinitiv Estimates					
** = Based on consensus methodology					
e = Morgan Stanley Research estimates					

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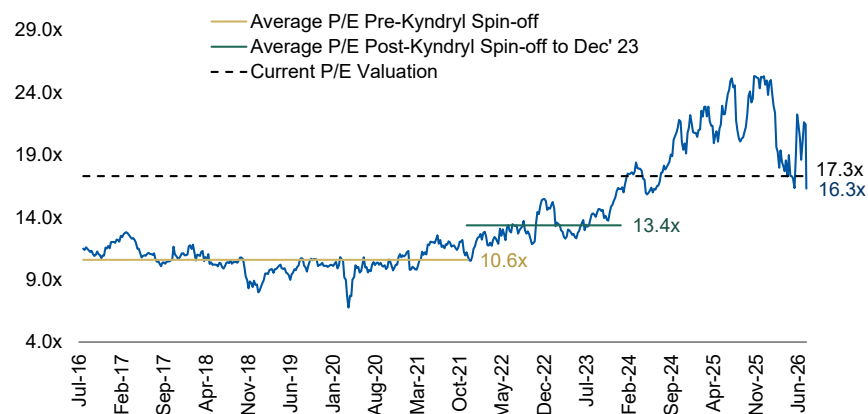
- Where 2Q numbers shake out.** Based on the 2Q pre-announcement, total revenue of \$17.2B came in 5% below MSe of \$18.2B. Software revenue growth of 5% Y/Y was \$0.5B below MSe of 11%, Consulting revenue was largely in-line with MSe at +1% Y/Y (CC) and Infrastructure down 7% Y/Y at almost \$0.4B below MSe of +2%. Given Mainframe and TP are high margin businesses, IBM missed 2Q gross margins by 130bps, but leveraged cost cutting initiatives to protect PTI margins at 19.2%. Ultimately, 2Q EPS fell 5% short of MSe (\$3.08) and 3% short of Street (\$3.01).
- What this means for some of the 2Q (or full year) segment KPIs.** Based on our conversation with IR, we estimate **IBM Z** revenue fell 40-50% Y/Y in 2Q. **RHT** growth of 11% Y/Y was a positive surprise, but **Data, Automation and Transaction Processing** - which are purchased as part of ELAs - were weaker than expected. We suspect **TP** was likely down closer to 10% Y/Y in 2Q (and given a 70% annuity / 30% transactional split, the transactional part of TP was likely down closer to 50% Y/Y). Given mgmt's positive commentary on **HashiCorp and Confluent** performance in the quarter, it appears the Software weakness in 2Q was entirely organic, and thus **organic software growth** in the quarter was likely close to 0% Y/Y. Organically, this means total IBM revenue growth in 2Q was negative Y/Y for the first time in several quarters. Finally, **FCF** through 1H26 is \$4.8B, flat Y/Y. In 2023 (same point for z-cycle), 1H FCF represented 31% of full year FCF. Assuming similar seasonality this year would imply \$15.5B of FCF in 2026, below guidance for ~\$15.7B.
- Directionally correct on 2Q preview for Power/Storage outperformance - a positive read-through/confirmation of enterprise compute and storage strength.** Part of our [2Q Preview thesis](#) played out this quarter, in that Distributed Infrastructure growth was robust at +37% Y/Y. Without Mainframe weakness, this would have driven Infra upside in the quarter. Nevertheless, we believe the strength in 2Q Infrastructure spend is a positive read-through to enterprise server and storage spending, where demand is *currently* inelastic and taking share of IT budgets. **Direct beneficiaries: DELL, HPE, P, NTAP, SNX, CDW and INGM. Indirect beneficiaries: STX (our Top Pick) and WDC.**
- Qualitatively, what we are hearing from IBM.** IBM's perspective is that there was a short-term optimization of capex towards the end of 2Q ("a few days in the quarter") that reprioritized spend to Power and Storage. This primarily impacted ELAs/3 year capex purchases. IR was clear - they do not believe the 2Q miss in Mainframe was related to any pull-in of demand in 2025, nor did they see any Mainframe migrations this quarter. They pointed to other areas of spending strength - RedHat, Confluent, HashiCorp - as evidence that this issue was isolated to products purchased disproportionately through ELA's. But they also noted that the weakness in TP purchased via ELAs more than offset an lagged capacity growth from prior z17 placements that could have benefitted TP. The IBM team is still working through the pipeline (quality/size), and looking at deals that slipped, etc. to determine any broader impact of the capex reprioritization.
- Where valuation stands today and where a floor in the stock could lie.** Flowing through the 2Q EPS miss in our model, our CY26 EPS falls to \$12.27,

assuming an unchanged 2H outlook (where we see downside risk if 2Q headwind persists). At \$215, this implies IBM is trading at 17-18x P/ CY26 EPS, closer to pre-July 2024 levels. Revising our regression-based FCF valuation and removing higher growth/valuation peers such as PANW implies a \$207 PT (12.5x P/FCF), whereas our sum-of-the-parts analysis implies valuation between \$164 (with a 25% conglomerate discount) and \$219, using intra-day peer multiples. But to be clear, we are not assuming a reduction in CY26 FCF/EPS in these analyses, which would push these valuations lower.

Questions we still have post pre-announcement. (1) What is the risk this spending re-prioritization is not just isolated to 2Q / could persist into 2H26 if memory shortages/inflation remains?; (2) When you reference 'undertaking new initiatives and accelerating others' to remedy the challenges this quarter, what exactly does that mean?; (3) Why does Transaction Processing get impacted to this extent if existing customers are still utilizing processing capabilities? In other words, why does TP revenue decline vs. just increase more modestly?; (4) How should we think about FCF linearity in the year and what possible offsets do you have to protect CY26 FCF; (5) What is the latest on Consulting backlog, bookings/billings, given a relatively in-line quarter; (6) Can you more-thorough provide details on your comments regarding distractions with industry-wide cyber concerns in the quarter?

Exhibit 1: IBM now trades at 17.3x P/E, a ~2x turn de-rating from mid-April.

IBM FY2 P/E



Source: FactSet, Morgan Stanley Research

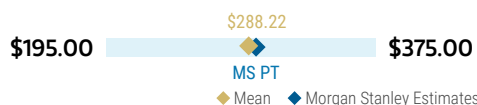
Risk Reward – IBM (IBM.N)

Equal-Weight Rating Balances All-Time High Valuation With Quantum Optionality

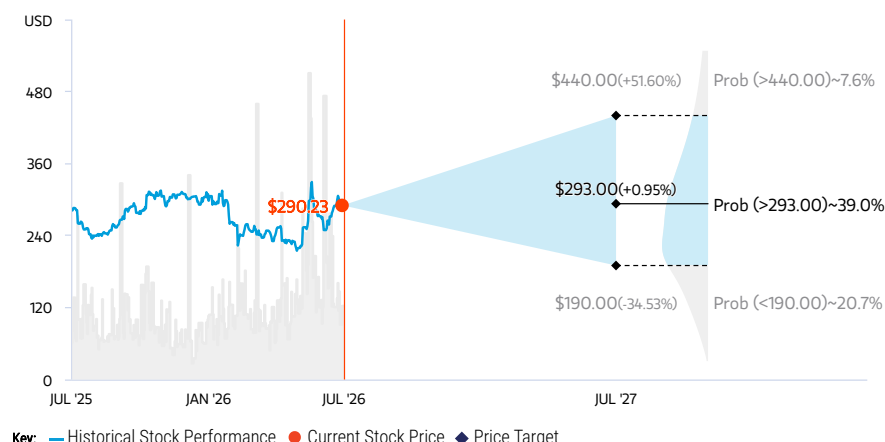
PRICE TARGET \$293.00

Our \$293 price target reflects a 17.7x P/FCF 2026 multiple of \$16.55 FCF/share, and implies IBM trades in-line with software and consulting peers on a growth adjusted basis.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

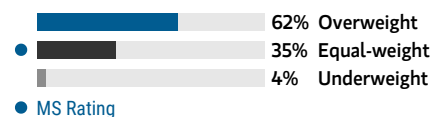


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 13 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

IBM has gained credit for driving more consistent performance in recent years and shifting its portfolio to more recurring Software and Services. The acquisition of HashiCorp combined with a mainframe/ELA cycle is resulting in growth accelerating in 2025, but also creates risk of a deceleration in 2026. This risk, among others, is what supports our \$293 price target. Yet, the market is clearly also focused on Quantum, and given the re-rating we have seen from pure-play quantum stocks, IBM's early Quantum leadership has upside optionality. Balancing these facts is what drives our EW-rating, with mis-execution the key bear case risk.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: *Positive*
Pricing Power: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$440.00

25.3x P/FCFe of CY26 \$17.38/share (ex-receivables)

IBM Quantum becomes more material to the model. General consensus is that IBM has a seat at the gen-AI and Quantum table, and customer wins/revenue outpaces expectations. IBM accelerates Consulting & Software growth, as competitive positioning improves on the core business. Additionally, quantum adds \$180B in Enterprise Value on top of our base case valuation, and as a result, shares re-rate to 25.5x P/FCFe 2026 on \$17.38/share.

BASE CASE \$293.00

17.7x P/FCFe of CY26 \$16.55/share (ex-receivables)

Stable fundamentals drives 6% Y/Y revenue growth at CC and 8% Y/Y FCF growth in CY26. Consulting grows 2.2% Y/Y at CC due to green shoots in IT services and easy comps, Software grows 11.2% Y/Y at CC due to extended ELA cycle renewal in 2026, Infrastructure increases 0.8% Y/Y at CC. AI Consulting bookings gradually become additive to Consulting revenue growth. We forecast 6% Y/Y revenue growth at CC. We value IBM at 17.7x P/FCF 2026 of \$16.55/shr.

BEAR CASE \$190.00

11.8x P/FCFe of CY26 \$16.05/share (ex-receivables)

Tough macro environment leads to budget cuts, and IBM FCF grows 4% Y/Y CC in CY26. RHT growth slows due to share loss, and acquisitions in Software fail to increase portfolio relevancy, driving core growth to decelerate faster than expected. ELA cycle in 2026 also fails to materialize. IT Services spend does not rebound due to mis-execution, causing Consulting revenue to decline. Spend on mainframe is significantly cut due to irrelevancy of new mainframe launch to enterprises.

Risk Reward – IBM (IBM.N)

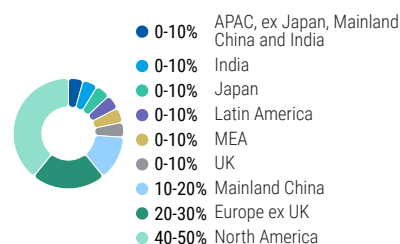
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Constant Currency Revenue Growth (Y/Y) (%)	6.1	6.3	4.0	6.3
Software CC Revenue Growth (Y/Y) (%)	9.1	11.3	8.9	0.0
PTI Margins (Y/Y) (%)	20.683	19.504	20.047	0.000
FCF Growth (Y/Y) (%)	15.6	7.7	6.7	11.1

INVESTMENT DRIVERS

- (+) Sustained/multi-year topline growth
- (+) Strategic divestitures and/or acquisitions
- (+) Positive FCF surprises
- (-) Decelerating SW/Consulting growth below medium-term model
- (-) Margins pressure earnings and FCF

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Strength in Gen AI adds incremental growth to SW and Consulting
- Consulting growth surprises positively
- Incremental M&A accelerates growth
- IBM upsides on FCF
- Demonstrated commercial success in Quantum

RISKS TO DOWNSIDE

- Macro disruption leads to deal elongation
- Accelerated cannibalization of on-prem software
- AI cannibalizes/disrupts core Consulting
- Organic SW growth undergrows 7% target
- Lack of M&A contribution

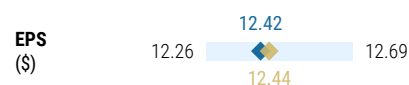
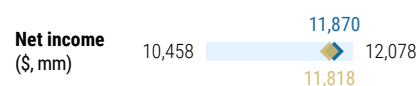
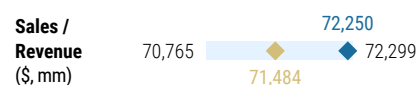
OWNERSHIP POSITIONING

Inst. Owners, % Active	41.1%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

IBM Financial Model

Exhibit 2: IBM Income Statement

(\$ in millions)	2025A				2026E				2027E				2024A	2025A	2026E	2027E	2028E
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27					
Revenues	8,469	16,977	16,331	19,685	15,918	18,147	17,482	20,703	16,578	18,748	17,977	21,177	62,756	61,462	72,250	74,479	78,419
Software	263	7,387	7,209	9,031	7,052	8,294	8,196	10,028	7,786	8,953	8,826	10,698	27,086	23,890	33,570	36,263	38,689
Consulting	5,068	5,315	5,324	5,348	5,272	5,436	5,489	5,567	5,447	5,664	5,604	5,700	20,693	21,055	21,764	22,415	23,014
Infrastructure	2,886	4,141	3,559	5,132	3,326	4,211	3,556	4,888	3,111	3,947	3,330	4,583	14,020	15,718	15,981	14,969	15,920
Financing	191	166	200	179	220	168	202	181	209	159	192	172	713	736	770	732	695
Other	61	(32)	39	(5)	48	39	39	39	25	25	25	25	244	63	165	100	100
Cost of Revenues	237	6,775	6,740	7,526	6,731	7,123	7,041	7,836	6,823	7,258	7,090	7,881	26,481	21,278	28,732	29,052	30,046
Software	43	1,189	1,218	1,499	1,213	1,360	1,381	1,655	1,324	1,450	1,470	1,744	4,428	3,950	5,609	5,987	6,330
Consulting	3,684	3,853	3,764	3,829	3,822	3,936	3,875	3,980	3,949	4,101	3,956	4,075	15,106	15,131	15,613	16,082	16,512
Infrastructure	1,362	1,594	1,523	2,022	1,434	1,625	1,565	1,990	1,356	1,543	1,482	1,888	6,198	6,502	6,613	6,269	6,508
Financing	104	90	109	100	125	93	112	103	119	89	107	99	372	403	432	414	397
Other	(4,956)	48	126	76	138	109	109	109	75	75	75	75	377	(4,707)	465	300	300
Gross Profit	8,232	10,202	9,591	12,159	9,187	11,024	10,440	12,867	9,754	11,490	10,887	13,297	36,275	40,184	43,518	45,427	48,372
Gross Margin	97.2%	60.1%	58.7%	61.8%	57.7%	60.7%	59.7%	62.1%	58.8%	61.3%	60.6%	62.8%	57.8%	65.4%	60.2%	61.0%	61.7%
Software	220	6,198	5,991	7,532	5,839	6,934	6,815	8,373	6,462	7,502	7,357	8,954	22,658	19,940	27,961	30,276	32,359
Consulting	1,384	1,462	1,560	1,519	1,450	1,500	1,614	1,587	1,498	1,563	1,648	1,624	5,587	5,924	6,150	6,333	6,503
Infrastructure	1,524	2,547	2,036	3,110	1,892	2,586	1,991	2,899	1,754	2,403	1,848	2,695	7,822	9,216	9,368	8,700	9,412
Financing	87	76	91	79	95	75	90	78	90	70	85	73	341	333	338	318	298
Other	5,017	(80)	(87)	(81)	(90)	(70)	(70)	(70)	(50)	(50)	(50)	(50)	(133)	4,770	(300)	(200)	(200)
Operating Expenses	6,226	6,561	6,257	7,010	6,683	7,123	6,853	7,267	7,128	7,405	6,957	7,793	25,012	26,054	27,925	29,284	30,441
SG&A	4,533	4,679	4,394	5,100	4,682	4,963	4,563	4,886	4,973	4,968	4,620	5,040	18,529	18,706	19,094	19,602	19,854
R&D	1,946	2,097	2,082	2,187	2,173	2,432	2,552	2,691	2,404	2,718	2,607	3,071	7,479	8,312	9,848	10,799	11,763
IP Income	253	215	219	277	172	272	262	311	249	281	270	318	996	964	1,017	1,117	1,176
Income from Operations (PTOP)	2,006	3,641	3,334	5,149	2,504	3,902	3,587	5,600	2,626	4,084	3,930	5,503	11,263	14,130	15,593	16,143	17,932
PTOP Margin	23.7%	21.4%	20.4%	26.2%	15.7%	21.5%	20.5%	27.0%	15.8%	21.8%	21.9%	26.0%	17.9%	23.0%	21.6%	21.7%	22.9%
Total Interest Income (Expense), Net	(268)	(445)	(301)	(404)	(375)	(409)	(378)	(340)	(336)	(314)	(298)	(264)	(55)	(1,418)	(1,501)	(1,212)	(1,103)
Interest Income	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Income	187	65	191	74	98	109	122	145	133	150	162	191	1,657	517	474	635	669
Interest Expense	455	510	492	478	473	518	500	484	469	464	459	455	1,712	1,935	1,976	1,847	1,771
Pre-tax Income	1,738	3,196	3,033	4,745	2,129	3,492	3,210	5,260	2,289	3,770	3,632	5,239	11,208	12,712	14,092	14,931	16,829
PTI Margin	20.5%	18.8%	18.6%	24.1%	13.4%	19.2%	18.4%	25.4%	13.8%	20.1%	20.2%	24.7%	17.9%	20.7%	19.5%	20.0%	21.5%
GAAP Income Tax Provision	103	404	686	(1,435)	172	493	447	775	283	505	484	725	(217)	(242)	1,887	1,996	2,167
Recurring Tax Provision	221	545	516	438	308	550	514	842	343	565	545	786	1,524	1,720	2,222	2,240	2,524
Effective Tax Rate	12.7%	17.1%	17.0%	9.2%	14.5%	16.0%	16.0%	16.0%	15.0%	15.0%	15.0%	15.0%	13.6%	13.5%	15.8%	15.0%	15.0%
Statutory Tax Rate	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Operating Net Income	1,517	2,651	2,517	4,307	1,821	2,934	2,696	4,419	1,946	3,204	3,087	4,453	9,684	10,992	11,870	12,691	14,304
Operating Net Income Margin	17.9%	15.6%	15.4%	21.9%	11.4%	16.2%	15.4%	21.3%	11.7%	17.1%	17.2%	21.0%	15.4%	17.9%	16.4%	17.0%	18.2%
One-Time (Gains)/Charges, Net of Tax	462	459	773	(1,272)	606	339	339	339	345	345	345	345	3,669	422	1,624	1,379	2,026
Gross	580	600	603	601	742	406	406	406	406	406	406	406	5,410	2,384	1,959	1,622	2,384
Less: One-time Tax Impact	(118)	(141)	170	(1,873)	(136)	(66)	(66)	(66)	(61)	(61)	(61)	(61)	(1,741)	(1,962)	(335)	(243)	(358)
GAAP Net Income	1,055	2,192	1,744	5,579	1,215	2,594	2,357	4,079	1,601	2,860	2,743	4,109	6,015	10,570	10,246	11,313	12,278
After-tax Income from Discontinued Operations	1	1	-	21	-	-	-	-	-	-	-	-	9	23	-	-	-
Net Inc. after Discontinued Op. Reported	1,056	2,193	1,744	5,600	1,215	2,594	2,357	4,079	1,601	2,860	2,743	4,109	6,024	10,593	10,246	11,313	12,278
Fullly-diluted EPS																	
EPS - ModelWare	\$1.60	\$2.80	\$2.65	\$4.52	\$1.91	\$3.08	\$2.82	\$4.61	\$2.02	\$3.33	\$3.20	\$4.60	\$10.32	\$11.68	\$12.42	\$13.14	\$14.66
EPS - Reported (Continuing Operations)	\$1.12	\$2.31	\$1.84	\$5.86	\$1.28	\$2.72	\$2.47	\$4.25	\$1.67	\$2.97	\$2.84	\$4.24	\$6.41	\$11.14	\$10.72	\$11.71	\$12.58
EPS - Reported (After Discontinued Ops)	\$1.12	\$2.31	\$1.84	\$5.86	\$1.28	\$2.72	\$2.47	\$4.25	\$1.67	\$2.97	\$2.84	\$4.24					
Dividend Payment	1,549	1,563	1,569	1,574	1,576	1,580	1,585	1,591	1,597	1,602	1,607	1,614	6,147	6,255	6,332	6,419	6,515
Dividend Per Share	\$1.67	\$1.68	\$1.68	\$1.68	\$1.68	\$1.68	\$1.68	\$1.68	\$1.69	\$1.69	\$1.69	\$1.69	\$6.67	\$6.71	\$6.73	\$6.75	\$6.78
Period Ending Outstanding Shares	929	932	935	937	939	941	944	947	949	950	953	956	926	937	947	956	966
Avg Shares (Basic)	928	931	934	937	939	940	942	945	948	949	952	955	922	932	941	951	961
Avg Shares (Fully Diluted)	945	948	949	952	952	953	956	959	961	963	966	969	938	949	956	966	976

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: IBM Income Statement Analysis

(\$ in millions)	2025A				2026E				2027E				2024A 2025A 2026E 2027E 2028E				
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	2024A	2025A	2026E	2027E	2028E
Margin Analysis																	
Gross Margin	97.2%	60.1%	58.7%	61.8%	57.7%	60.7%	59.7%	62.1%	58.8%	61.3%	60.6%	62.8%	57.8%	65.4%	60.2%	61.0%	61.7%
Software	83.6%	83.9%	83.1%	83.4%	82.8%	83.6%	83.2%	83.5%	83.0%	83.8%	83.4%	83.7%	83.7%	83.5%	83.3%	83.5%	83.6%
Consulting	27.3%	27.5%	29.3%	28.4%	27.5%	27.6%	29.4%	28.5%	27.5%	27.6%	29.4%	28.5%	27.0%	28.1%	28.3%	28.3%	28.3%
Infrastructure	52.8%	61.5%	57.2%	60.6%	56.9%	61.4%	56.0%	59.3%	56.4%	60.9%	55.5%	58.8%	55.8%	58.6%	58.6%	58.1%	59.1%
Financing	45.8%	45.7%	45.6%	44.1%	43.4%	44.7%	44.6%	43.1%	42.9%	44.2%	44.1%	42.6%	47.9%	45.3%	43.9%	43.4%	42.9%
SG&A	53.5%	27.6%	26.9%	25.9%	29.4%	27.4%	26.1%	23.6%	30.0%	26.5%	25.7%	23.8%	29.5%	30.4%	26.4%	26.3%	25.3%
R&D	23.0%	12.4%	12.7%	11.1%	13.7%	13.4%	14.6%	13.0%	14.5%	14.5%	14.5%	14.5%	11.9%	13.5%	13.6%	14.5%	15.0%
IP Income	3.0%	1.3%	1.3%	1.4%	1.1%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.6%	1.6%	1.4%	1.5%	1.5%
Operating Expenses	73.5%	38.6%	38.3%	35.6%	42.0%	39.3%	39.2%	35.1%	43.0%	39.5%	38.7%	36.8%	39.9%	42.4%	38.7%	39.3%	38.8%
EBITDA Margin	37.6%	28.9%	28.3%	32.7%	23.7%	29.4%	28.6%	33.8%	23.9%	29.0%	29.4%	32.4%	25.4%	31.2%	29.2%	28.9%	28.8%
PTOP Margin	23.7%	21.4%	20.4%	26.2%	15.7%	21.5%	20.5%	27.0%	15.8%	21.8%	21.9%	26.0%	17.9%	23.0%	21.6%	21.7%	22.9%
Pretax Margin	20.5%	18.8%	18.6%	24.1%	13.4%	19.2%	18.4%	25.4%	13.8%	20.1%	20.2%	24.7%	17.9%	20.7%	19.5%	20.0%	21.5%
Net Income	17.9%	15.6%	15.4%	21.9%	11.4%	16.2%	15.4%	21.3%	11.7%	17.1%	17.2%	21.0%	15.4%	17.9%	16.4%	17.0%	18.2%
Y/Y Growth (%)																	
Reported Revenue	-41.4%	7.7%	9.1%	12.1%	88.0%	6.9%	7.0%	5.2%	4.1%	3.3%	2.8%	2.3%	1.4%	-2.1%	17.6%	3.1%	5.3%
Software	-95.5%	9.6%	10.5%	14.0%	2581.4%	12.3%	13.7%	11.0%	10.4%	7.9%	7.7%	6.7%	8.3%	-11.8%	40.5%	8.0%	6.7%
Consulting	-2.3%	2.6%	3.3%	3.3%	4.0%	2.3%	3.1%	4.1%	3.3%	4.2%	2.1%	2.4%	-0.9%	1.7%	3.4%	3.0%	2.7%
Infrastructure	-6.2%	13.6%	17.0%	20.6%	15.2%	1.7%	-0.1%	-4.7%	-6.5%	-6.3%	-6.4%	-6.3%	-3.9%	12.1%	1.7%	-6.3%	6.4%
Financing	-1.0%	-1.8%	10.5%	5.3%	15.2%	1.0%	1.0%	1.0%	-5.0%	-5.0%	-5.0%	-5.0%	-3.9%	3.2%	4.7%	-5.0%	-5.0%
Gross Margin Expansion	77.6%	3.9%	2.1%	2.0%	-40.6%	1.1%	1.7%	0.6%	2.0%	0.9%	1.4%	1.0%	2.4%	13.1%	-7.9%	1.3%	1.1%
Software	1.2%	0.3%	-0.1%	-1.6%	-0.8%	-0.3%	0.0%	0.1%	0.2%	0.2%	0.2%	0.2%	1.0%	-0.2%	-0.2%	0.2%	0.2%
Consulting	2.0%	1.2%	0.9%	0.4%	0.2%	0.1%	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.9%	4.2%	0.4%	0.0%	0.0%
Infrastructure	-1.4%	5.0%	2.2%	3.7%	4.1%	-0.1%	-1.2%	-1.3%	-0.5%	-0.5%	-0.5%	-0.5%	-0.6%	5.1%	0.0%	-0.9%	1.7%
Financing	-2.7%	-3.2%	-1.6%	-2.8%	-2.4%	-1.0%	-1.0%	-1.0%	-0.5%	-0.5%	-0.5%	-0.5%	-0.6%	-5.4%	-3.1%	-1.1%	-1.2%
SG&A	64.5%	-6.6%	-12.7%	-0.3%	-45.0%	-0.8%	-3.0%	-8.9%	2.0%	-3.1%	-1.5%	0.8%	3.2%	1.0%	2.1%	2.7%	1.3%
R&D	85.0%	5.9%	1.7%	-0.8%	-40.6%	8.5%	14.5%	17.0%	6.2%	8.2%	-0.7%	11.5%	10.4%	11.1%	18.5%	9.7%	8.9%
IP Income	100.0%	-17.1%	-15.7%	-17.9%	-63.8%	18.4%	11.9%	6.6%	38.8%	0.0%	0.0%	0.0%	15.8%	-3.2%	5.5%	9.9%	5.3%
Operating Expenses	69.1%	-2.5%	-8.2%	0.4%	-42.9%	1.6%	2.3%	-1.4%	2.4%	0.6%	-1.3%	4.8%	4.7%	4.2%	7.2%	4.9%	4.0%
PTOP Margin	23.3%	26.9%	41.1%	16.9%	24.8%	7.2%	7.6%	8.8%	4.9%	4.7%	9.5%	-1.7%	1.9%	25.5%	10.4%	3.5%	11.1%
Pretax Margin	4.8%	14.5%	22.0%	11.1%	22.5%	9.3%	5.8%	10.9%	7.5%	7.9%	13.2%	-0.4%	8.7%	13.4%	10.9%	6.0%	12.7%
Net Income	-3.0%	16.5%	16.8%	16.7%	20.0%	10.7%	7.1%	2.6%	6.9%	9.2%	14.5%	0.8%	9.2%	13.5%	8.0%	6.9%	12.7%
ModelWare EPS	-4.2%	14.9%	15.5%	15.5%	19.2%	10.0%	6.3%	1.9%	5.8%	8.1%	13.3%	-0.2%	7.3%	12.2%	7.3%	5.8%	11.6%
Q/Q Growth (%)																	
Reported Revenue	-51.8%	100.5%	-3.8%	20.5%	-19.1%	14.0%	-3.7%	18.4%	-19.9%	13.1%	-4.1%	17.8%					
Software	-96.7%	2708.7%	-2.4%	25.3%	-21.9%	17.6%	-1.2%	22.3%	-22.4%	15.0%	-1.4%	21.2%					
Consulting	-2.1%	4.9%	0.2%	0.5%	-1.4%	3.1%	1.0%	1.4%	-2.2%	4.0%	-1.1%	1.7%					
Infrastructure	-32.2%	43.5%	-14.1%	44.2%	-35.2%	26.6%	-15.6%	37.5%	-36.4%	26.9%	-15.6%	37.6%					
Financing	12.4%	-13.1%	20.5%	-10.5%	22.9%	-23.8%	20.5%	-10.5%	15.6%	-23.8%	20.5%	-10.5%					
Gross Margin Expansion	36.6%	-37.1%	-1.4%	3.0%	-4.1%	3.0%	-1.0%	2.4%	-3.3%	2.4%	-0.7%	2.2%					
Software	-1.4%	0.3%	-0.8%	0.3%	-0.6%	0.8%	-0.5%	0.4%	-0.5%	0.8%	-0.5%	0.4%					
Consulting	-0.7%	0.2%	1.8%	-0.9%	-0.9%	0.1%	1.8%	-0.9%	-1.0%	0.1%	1.8%	-0.9%					
Infrastructure	-4.1%	8.7%	-4.3%	3.4%	-3.7%	4.5%	-5.4%	3.3%	-2.9%	4.5%	-5.4%	3.3%					
Financing	-1.1%	-0.1%	-0.1%	-1.5%	-0.7%	1.3%	-0.1%	-1.5%	-0.2%	1.3%	-0.1%	-1.5%					
SG&A	106.0%	-48.5%	-2.4%	-3.7%	13.5%	-7.0%	-4.6%	-9.6%	27.1%	-11.7%	-3.0%	-7.4%					
R&D	105.1%	-46.2%	3.2%	-12.9%	22.9%	-1.8%	9.0%	-11.0%	11.5%	0.0%	0.0%	0.0%					
IP Income	74.2%	-57.6%	5.9%	4.9%	-23.2%	38.8%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%					
Operating Expenses	107.3%	-47.4%	-0.9%	-7.1%	17.9%	-6.5%	-0.1%	-10.5%	22.5%	-8.1%	-2.0%	-4.9%					
PTOP Margin	-54.4%	81.5%	-8.4%	54.4%	-51.4%	55.8%	-8.1%	56.1%	-53.1%	55.5%	-3.8%	40.0%					
Pretax Margin	-59.3%	83.9%	-5.1%	56.4%	-55.1%	64.0%	-8.1%	63.9%	-56.5%	64.7%	-3.7%	44.2%					
Net Income	-58.9%	74.8%	-5.1%	71.1%	-57.7%	61.1%	-8.1%	63.9%	-56.0%	64.7%	-3.7%	44.2%					
ModelWare EPS	-59.0%	74.3%	-5.1%	70.5%	-57.7%	60.9%	-8.3%	63.4%	-56.1%	64.3%	-3.9%	43.8%					

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: IBM Balance Sheet

(\$ in millions)	2025A				2026E				2027E				2024A	2025A	2026E	2027E	2028E
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27					
Assets																	
Current Assets:																	
Cash and cash equivalents	11,035	11,944	11,570	13,587	10,819	10,243	10,631	14,802	14,146	13,485	13,384	18,387	13,947	13,587	14,802	18,387	23,467
Restricted cash	126	83	30	54	45	45	45	45	45	45	45	45	213	54	45	45	45
Marketable securities	6,430	3,504	3,286	830	964	964	964	964	964	964	964	964	644	830	964	964	964
Total Receivables	12,470	13,493	12,607	17,639	14,245	14,036	13,422	17,529	13,813	14,244	12,571	17,213	14,910	17,639	17,529	17,213	17,224
Total Inventories LCM	1,431	1,251	1,397	1,220	1,476	1,405	1,543	1,270	1,346	1,432	1,554	1,277	1,289	1,220	1,270	1,277	1,321
Other current assets	3,844	3,978	3,850	3,614	4,366	4,366	4,366	4,366	4,366	4,366	4,366	4,366	3,479	3,614	4,366	4,366	4,366
Total Current Assets	35,336	34,253	32,740	36,944	31,915	31,059	30,971	38,976	34,679	34,535	32,885	42,253	34,482	36,944	38,976	42,253	47,387
Property, plant and equipment, net	5,742	5,943	5,851	5,899	5,781	8,662	8,597	8,631	8,710	8,827	8,921	9,063	5,732	5,899	8,631	9,063	9,458
Long-Term Financing Receivables	4,920	6,171	6,258	7,708	7,014	6,294	6,383	6,937	7,084	6,420	6,575	7,145	5,353	7,708	6,937	7,145	7,431
Prepaid Pension Assets	7,670	7,983	8,044	7,544	7,578	7,578	7,578	7,578	7,578	7,578	7,578	7,578	7,492	7,544	7,578	7,578	7,578
Goodwill	66,065	67,506	67,396	67,717	74,709	73,000	73,050	73,100	73,735	74,370	75,005	75,641	60,706	67,717	73,100	75,641	78,182
Deferred Tax Assets & Costs	8,363	9,270	9,273	8,610	8,552	9,909	9,926	9,055	8,906	10,237	10,207	9,263	7,766	8,610	9,055	9,263	9,753
Capitalized Software, net	838	885	847	964	1,238	940	923	934	948	981	1,004	1,054	790	964	934	1,054	1,213
Intangible Assets, net	11,554	11,368	10,882	10,427	13,386	11,872	11,293	10,729	10,494	10,265	10,041	9,824	9,870	10,427	10,729	9,824	9,011
Investments and Operating right-of-use assets	5,179	5,206	5,021	6,067	6,058	6,081	6,103	6,126	6,414	6,703	6,991	7,280	4,984	6,067	6,126	7,280	8,433
Total Assets	145,667	148,585	146,312	151,880	156,231	155,395	154,824	162,066	158,549	159,916	159,207	169,099	137,175	151,880	162,066	169,099	178,446
Liabilities																	
Current Liabilities:																	
Total Short-Term Debt	6,913	8,945	7,942	6,424	8,655	8,160	8,130	8,807	8,252	8,133	8,111	8,381	5,089	6,424	8,807	8,381	8,355
Taxes	1,573	1,681	1,663	2,347	2,053	2,033	1,608	2,650	2,278	2,576	1,798	2,711	2,033	2,347	2,650	2,711	2,854
Accounts Payable and Accruals	3,585	3,974	3,867	4,756	4,039	3,903	4,244	4,866	3,888	4,136	3,963	4,750	4,032	4,756	4,866	4,750	4,913
Compensation and Benefits	3,653	3,353	3,508	4,114	3,941	3,542	3,624	4,316	3,408	3,868	3,550	4,139	3,605	4,114	4,316	4,139	4,292
Short Term Deferred Income	15,057	15,022	13,878	16,101	17,034	16,654	16,459	16,847	17,752	17,726	16,946	17,973	13,907	16,101	16,847	17,973	19,345
Other Accrued Expenses and Liabilities	4,324	4,752	4,284	4,915	4,380	5,807	5,663	5,364	4,772	5,022	4,811	5,374	4,477	4,915	5,364	5,374	5,574
Total Current Liabilities	35,105	37,726	35,142	38,657	40,102	40,099	39,728	42,851	40,350	41,461	39,179	43,328	33,143	38,657	42,851	43,328	45,332
Long Term Liabilities																	
Total Long-Term Debt	56,371	55,219	55,174	54,836	57,706	55,314	53,443	53,949	52,414	50,859	50,173	52,050	49,884	54,836	53,949	52,050	49,813
Retirement and Nonpension Postretirement Ben	9,536	9,882	9,735	9,018	8,763	8,763	8,763	8,763	8,763	8,763	8,763	8,763	9,432	9,018	8,763	8,763	8,763
Long Term Deferred Income	3,844	3,913	3,863	4,271	4,195	4,313	4,492	4,813	4,734	4,655	4,837	5,135	3,622	4,271	4,813	5,135	5,479
Operating lease liabilities	2,753	2,735	2,646	2,547	2,643	2,623	2,633	2,642	2,767	2,891	3,016	3,140	2,655	2,547	2,642	3,140	3,638
Others	11,105	11,522	11,762	9,810	9,767	9,767	9,767	9,767	9,767	9,767	9,767	9,767	11,048	9,810	9,767	9,767	9,767
Total Long Term Liabilities	83,609	83,271	83,180	80,482	83,074	80,780	79,097	79,935	78,445	76,935	76,555	78,855	76,641	80,482	79,935	78,855	77,459
Stockholder's Equity:																	
Common Stock, par value	61,913	62,392	62,819	63,318	63,936	64,629	65,610	66,697	67,461	68,300	69,444	70,787	61,380	63,318	66,697	70,787	75,204
Retained Earnings	150,703	151,367	151,581	155,648	155,327	156,342	157,114	159,602	159,606	160,864	162,000	164,495	151,163	155,648	159,602	164,495	170,258
Treasury Stock, at cost	(170,160)	(170,209)	(170,512)	(170,605)	(170,874)	(171,121)	(171,390)	(171,684)	(171,979)	(172,310)	(172,638)	(173,031)	(169,968)	(170,605)	(171,684)	(173,031)	(174,473)
Employee Benefits Trust	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accumulated Gains (Losses) not affecting Retaine	(15,575)	(16,041)	(15,983)	(15,713)	(15,415)	(15,415)	(15,415)	(15,415)	(15,415)	(15,415)	(15,415)	(15,415)	(15,270)	(15,713)	(15,415)	(15,415)	(15,415)
Total Stockholder's Equity	26,881	27,509	27,905	32,648	32,974	34,435	35,918	39,199	39,673	41,439	43,391	46,835	27,305	32,648	39,199	46,835	55,574
Noncontrolling interests	72	79	85	93	81	81	81	81	81	81	81	81	86	93	81	81	81
Total Liabilities and Stockholder's Equity	145,667	148,585	146,312	151,880	156,231	155,395	154,824	162,066	158,548	159,916	159,207	169,099	137,175	151,880	162,066	169,099	178,446

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: IBM Cash Flow Statement

(\$ in millions)	2025A				2026E				2027E				2024A	2025A	2026E	2027E	2028E
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27					
Cash Flow Statement (Non Cumulative)																	
Operating activities:																	
Net income (loss)	1,055	2,194	1,744	5,600	1,216	2,594	2,357	4,079	1,601	2,860	2,743	4,109	6,023	10,593	10,247	11,313	12,278
Depreciation and Amortization:	1,177	1,265	1,283	1,296	1,274	1,429	1,409	1,393	1,342	1,346	1,350	1,356	4,667	5,021	5,505	5,394	5,421
Deferred Income Taxes	-	-	-	(957)	-	(1,357)	(17)	871	149	(1,331)	29	945	(2,330)	(957)	(503)	(207)	(490)
Gain on Disposition of Fixed and Other Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Stock based compensation charge	401	441	443	430	506	415	410	501	466	536	528	640	1,311	1,715	1,832	2,169	2,321
Others	(22)	(18)	(6)	7	(39)	-	-	-	-	-	-	-	2,461	(39)	(39)	-	-
Changes in Operating Assets and Liabilities:	1,759	(2,180)	(383)	(2,335)	2,212	1,364	10	(1,836)	1,368	1,198	(784)	(860)	1,313	(3,139)	1,750	922	1,632
Receivables Ex-Financing	-	-	-	(1,119)	-	(412)	214	(1,713)	1,889	(1,009)	1,299	(2,415)	57	(1,119)	(1,912)	(236)	(524)
Financing Receivables	2,087	(1,481)	299	(4,064)	2,565	1,341	312	(2,948)	1,681	1,242	218	(2,797)	(431)	(3,159)	1,270	344	227
Others and Pension Assets/Pension Liabilities	-	-	-	(50)	-	-	-	-	-	-	-	-	265	(50)	-	-	-
Inventory	-	-	-	70	-	71	(138)	273	(76)	(86)	(122)	276	(166)	70	206	(7)	(44)
Other Assets/ Liabilities	(328)	(699)	(682)	2,204	(311)	501	(719)	1,930	(1,148)	803	(2,006)	3,288	1,601	495	1,401	938	1,810
Accounts payable	-	-	-	624	-	(136)	341	622	(978)	248	(174)	787	(13)	624	827	(116)	163
Net cash provided by operating activities	4,370	1,702	3,081	4,041	5,169	4,445	4,169	5,009	4,926	4,609	3,867	6,190	13,445	13,194	18,792	19,590	21,162
Investing activities:																	
Payments for PPE, gross	(244)	(210)	(255)	(382)	(232)	(218)	(233)	(331)	(351)	(397)	(380)	(436)	(1,048)	(1,091)	(1,014)	(1,564)	(1,647)
Proceeds from disposition of PPE	74	37	7	3	8	-	-	-	-	-	-	-	557	121	8	-	-
Payments for PPE, net	(170)	(173)	(248)	(379)	(224)	(218)	(233)	(331)	(351)	(397)	(380)	(436)	(491)	(970)	(1,006)	(1,564)	(1,647)
Investment in software	(151)	(163)	(162)	(171)	(159)	(158)	(152)	(180)	(166)	(187)	(180)	(212)	(637)	(647)	(648)	(745)	(784)
(Purchases)/Sale of investments	(5,559)	2,781	30	2,358	359	-	-	-	-	-	-	-	(1,218)	(390)	359	-	-
Non-operating financing receivables- net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisition of business	(7,098)	(747)	(58)	(391)	(10,465)	(100)	(100)	(100)	(1,271)	(1,271)	(1,271)	(1,271)	(3,289)	(8,294)	(10,765)	(5,082)	(5,082)
Divestiture of business & other	(1)	-	-	-	1	-	-	-	-	-	-	-	698	(1)	1	-	-
Net cash used in investing activities	(12,979)	1,698	(438)	1,417	(10,488)	(475)	(484)	(611)	(1,787)	(1,855)	(1,831)	(1,919)	(4,937)	(10,302)	(12,059)	(7,391)	(7,513)
Financing activities:																	
Issuance of long-term debt	8,378	7	6	-	7,437	-	-	507	-	-	-	1,877	5,705	8,391	7,944	1,877	-
Payment of long-term debt	(1,257)	(1,308)	(1,114)	(1,810)	(2,928)	(2,392)	(1,871)	-	(1,536)	(1,555)	(686)	-	(6,615)	(5,489)	(7,191)	(3,776)	(2,238)
Short-Term Borrowings, net	(29)	-	-	-	-	(495)	(30)	677	(555)	(120)	(21)	270	30	(29)	152	(426)	(27)
Common stock repurchases	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common stock transactions - Other	(100)	10	(335)	(22)	(214)	31	302	292	3	(27)	288	309	(52)	(447)	411	573	655
Preferred stock transactions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash dividends paid	(1,549)	(1,563)	(1,569)	(1,574)	(1,576)	(1,580)	(1,585)	(1,591)	(1,597)	(1,602)	(1,607)	(1,614)	(6,147)	(6,255)	(6,332)	(6,419)	(6,515)
Other	-	-	-	-	-	(111)	(111)	(111)	(111)	(111)	(111)	(111)	-	-	(333)	(444)	(444)
Net cash (used in) provided by financing activities	5,443	(2,854)	(3,012)	(3,406)	2,719	(4,546)	(3,296)	(227)	(3,795)	(3,415)	(2,136)	732	(7,079)	(3,829)	(5,349)	(8,615)	(8,569)
Effect of Exchange Rate Changes	167	320	(58)	(11)	(177)	-	-	-	-	-	-	-	(359)	418	(177)	-	-
Net Cash Flow from Discontinued Operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net (decrease) increase in cash and cash equivalents	(2,999)	866	(427)	2,041	(2,777)	(576)	389	4,171	(657)	(661)	(100)	5,003	1,070	(519)	1,206	3,585	5,080
Cash and cash equivalents at beginning of period	14,160	11,161	12,027	11,600	13,641	10,864	10,288	10,676	14,847	14,191	13,530	13,429	13,090	14,160	13,641	14,847	18,432
Cash and cash equivalents at end of period	11,161	12,027	11,600	13,641	10,864	10,288	10,676	14,847	14,191	13,530	13,429	18,432	14,160	13,641	14,847	18,432	23,512

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Stock Price, Price Target and Rating History (See Rating Definitions)

IBM (IBM.N) - As of 07/14/26 GMT in USD
Industry : IT Hardware



Stock Rating History: 7/1/21 : E/I; 10/5/21 : E/C; 4/13/22 : O/C; 1/18/23 : E/I; 1/20/26 : E/C

Price Target History: 4/19/21 : 152; 7/20/21 : 164; 11/4/21 : 147; 4/13/22 : 150; 4/20/22 : 157; 7/19/22 : 155; 10/5/22 : 152; 1/18/23 : 148; 1/26/23 : 143; 4/20/23 : 135; 10/16/23 : 130; 12/12/23 : 149; 1/15/24 : 152; 1/25/24 : 186; 4/25/24 : 179; 7/25/24 : 182; 10/17/24 : 217; 10/24/24 : 208; 12/16/24 : 222; 1/28/25 : 217; 1/30/25 : 228; 4/8/25 : 237; 4/24/25 : 233; 7/16/25 : 253; 10/14/25 : 256; 10/23/25 : 252; 1/29/26 : 304; 2/25/26 : 247; 4/14/26 : 215; 4/22/26 : 225; 6/23/26 : 267; 7/14/26 : 293

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$317.31
CDW Corporation (CDW.O)	O (06/23/2026)	\$144.36
Circuit Inc (CRCT.O)	U (08/12/2021)	\$4.52
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	\$427.11
Everpure, Inc. (P.N)	E (06/11/2024)	\$75.36
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$243.61
GoPro Inc (GPRO.O)	U (12/12/2023)	\$0.71
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$47.24
HP Inc. (HPQ.N)	U (11/16/2025)	\$24.77
IBM (IBM.N)	E (01/18/2023)	\$290.23
Ingram Micro (INGM.N)	E (06/11/2025)	\$28.98
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$15.65
Logitech International SA (LOGI.O)	U (01/20/2026)	\$0.00
NetApp Inc (NTAP.O)	U (01/20/2026)	\$163.93
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$35.40
Seagate Technology (STX.O)	O (03/26/2024)	\$860.66
SmartRent, Inc. (SMRT.N)	++	\$0.98
Sonos Inc. (SONO.O)	E (11/06/2025)	\$15.04
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$251.31
Teradata (TDC.N)	O (04/08/2025)	\$33.96
Western Digital (WDC.O)	O (04/16/2025)	\$555.55
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$55.22

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* Historical prices are not split adjusted.

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